

25STCV34389 25STCV34389

County: los-angeles

Division: Civil Law and Motion

Department: 11

Hearing date: 2026-07-30

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Case Number: 25STCV34389 Hearing Date: July 30, 2026 Dept: 11

Renteria

(25STCV34389)

Tentative Ruling Re:

Motion to Compel Arbitration

Date: 7/30/26

Time: 11:00 am

Moving

Party: YBR Enterprises Limited

Partnership ("YBR" or "Defendant")

Opposing

Party: Zohnyia Baxter

("Plaintiff")

Department: 11

Judge: Bruce G. Iwasaki

TENTATIVE RULING

Plaintiff's evidentiary objections are sustained in part (paragraph 2 of the Wozufia declaration) and overruled in part (paragraph

4 of the Wozufia declaration).

Defendant's motion to compel arbitration is granted, the class claims are stricken, and the case is stayed as to the representative claim under the Private Attorneys General Act ("PAGA").

BACKGROUND

This is a putative class action. Plaintiff used to work for VTP Enterprises dba Jack in the Box ("VTP") in Farmersville, California. YBR is the successor of VTP. The complaint alleges that VTP and YBR jointly employed Plaintiff and the putative members and subjected them to numerous wage-and-hour violations.

Here, YBR moves to compel Plaintiff's individual claims to arbitration pursuant to VTP's arbitration agreement.

DISCUSSION

Existence and Assent

"[W]hen a petition to compel arbitration is filed and accompanied by prima facie evidence of a written agreement to arbitrate the controversy, the court itself must determine whether the agreement exists and . . . whether it is enforceable." (Rosenthal v. Great Western Financial Securities Corp. (1996) 14 Cal.4th 394, 413.) "[T]he threshold question . . . is whether there is an agreement to arbitrate." (Cruise v. Kroger Co. (2015) 233 Cal.App.4th 390, 396, emphasis in original.)

Ultimately, the burden process is a three-step process. "First, the moving party bears the burden of producing 'prima facie evidence of a written agreement to arbitrate the controversy.'" (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165.) "The moving party 'can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature.'" (Ibid.) In the alternative, "the moving party can meet its burden by setting forth the agreement's provisions in the motion." (Ibid.)

"If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the

opposing party bears the burden of producing evidence to challenge the authenticity of the agreement.” (Ibid.) “The opposing party can do this in several ways.” (Ibid.) “For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement.” (Ibid.)

“If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties.” (Ibid.)
“The burden of proving the agreement by a preponderance of the evidence remains with the moving party.”
(Id. at 165-166.)

Defendant satisfies the first step. A copy of the entire VTP agreement is physically included with the moving papers.
(See Wilson Decl., Ex. 2; see also Gamboa, supra, 72 Cal.App.5th at 165.)

For the second and third steps, Plaintiff asserts:

Ms.

Renteria was employed by VTP but never by YBR. (Renteria Decl. ¶ 4-5.) The Agreement states that only the following entities are bound by the Agreement: the “(1) Company [i.e. VTP]; (2) its officers, directors, principals, shareholders, members, owners, employees, or agents; (3) Company’s benefit plans or the plan’s sponsors, fiduciaries, administrators, affiliates, or agents; and (4) all successors and assigns of any of them.” (Wilson Decl., Ex. 2.)

Nowhere is YBR mentioned as a party to the agreement. In order for YBR to enforce the agreement, YBR must prove that it falls under one of the above classifications. However, YBR has not established a right to enforce the Agreement, whether by means of merger with VTP or otherwise.

It is

Defendant’s duty to show that an agreement exists between the parties. They have failed to provide admissible evidence that YBR is a party to the agreement.
Given that Defendants have not met their burden of proving that a valid,

enforceable arbitration agreement exists between Plaintiff and Defendant YBR, the Motion should be denied.

(Opposition, p. 2.)

The Court disagrees. It is well settled that “[c]ertain persons who did not sign the agreement to arbitrate may be entitled to enforce it and prosecute the arbitration in their own names.” (Knight, et al., Cal. Practice

Guide: Alternative Dispute Resolution (The Rutter Group 2025) ¶ 5:262.) The rule applies in several instances. (See id. at ¶¶ 5:263, 5:265.7,

5:266.5, 5:266.7, 5:266.15 [either when the nonsignatory is a third-party beneficiary, employee, associate, agent, or assign or when equitable estoppel applies]; see also Marengo

v. DirecTV LLC (2015)

233 Cal.App.4th 1409, 1419-1420 [holding that “a nonsignatory defendant may invoke an arbitration clause to compel a signatory plaintiff to arbitrate its claims when the causes of action against the nonsignatory are ‘intimately founded in and intertwined’ with the underlying contract obligations”].) At least three (third-party beneficiary, agency, and equitable estoppel) appear applicable. (See Wilson Decl., Ex. 2, p. 1 [stating that the agreement “applies to any dispute that . . . Employee may have against: . . . (4) all successors and assigns of any of them”]; see also Motion to Compel, p. 7 [representing that Defendant is VTP’s successor]; Wozufia Decl., ¶ 3 [declaring that Defendant merged with VTP in January 2025 and that VTP “no longer exists”]; Complaint, ¶¶ 12-19 [alleging that all Defendants were agents of each other and jointly employed Plaintiff]; see also Garcia v. Pexco, LLC (2017) 11 Cal.App.5th 782, 787-788 [applying the agency and equitable-estoppel examples in a joint-employer action]; Knight, supra, at ¶ 5:266.18a [discussing Garcia].) Thus, an agreement to arbitrate exists, and Defendant can enforce it.

Federal Arbitration Act (“FAA”)

The next

issue concerns the FAA. The FAA applies if the plain language says it applies or if “the underlying contract facilitates interstate commercial transactions or directly or indirectly affects” interstate commerce. (Knight, supra, at ¶ 5:50.2, emphasis in original.) The first sentence of the VTP agreement states: “This Agreement is governed by the Federal Arbitration Act, 9 U.S.C. §

1 et seq. and evidences a transaction involving commerce.” (Wilson Decl., Ex. 2, p. 1.) These words render the FAA applicable.

Unconscionability and Enforcement

Unconscionability is a contract defense that can be utilized to

“invalidate [an] arbitration agreement[].”

(Torrecillas v. Fitness International, LLC (2020) 52 Cal.App.5th 485, 492.) Courts apply state law to

test whether the agreement is unconscionable.

(See, e.g., Lagatree v. Luce, Forward, Hamilton & Scripps (1999) 74 Cal.App.4th 1105, 1119.)

“[U]nconscionability has both a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results.” (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114, internal quotation marks omitted.) “The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.” (Ibid.) “But they need not be present in the same degree.” (Ibid.) “Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves.” (Ibid.) “In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Ibid.)

The burden belongs to the party opposing arbitration. (See Ajamian v. CantorCO2e, L.P. (2012) 203 Cal.App.4th 771, 795.)

Procedural Element: Plaintiff insists that the VTP agreement is a contract of adhesion. She claims it was presented on a take-it-or-leave-it basis. (See Opposition, pp. 3-4.)

The Court is unpersuaded.

For one thing, “a predispute arbitration agreement is not invalid merely because it is imposed as a

condition of employment.” (Lagatree, supra, 74 Cal.App.4th at 1122.)

For another thing, the plain language undercuts Plaintiff’s position. It stresses in bold that employees can opt out of arbitration:

8. An Employee’s Right To Opt Out Of

Arbitration. Arbitration is not a mandatory condition of Employee’s employment at the Company, and therefore an Employee may submit a statement notifying the Company that the Employee wishes to opt out and not be subject to this Agreement. If an Employee wants to opt out, he or she must notify the Company of the intention to opt out by submitting a signed and dated written statement to the Company’s Human Resources Department at 1660 N Farmersville Blvd., Farmersville, CA 93223 or sent by Fax (559)627-5887 stating that Employee is opting out of this Agreement. In order to be effective, the opt out notice must be provided within 30 days of Employee’s receipt of this Agreement. An Employee who timely opts out as provided in this paragraph will not be subject to any adverse employment action as a consequence of that decision and may pursue available legal remedies without regard to this Agreement. Should an Employee not opt out of this Agreement within 30 days of the Employee’s receipt of this Agreement, continuing the Employee’s employment constitutes mutual acceptance of the terms of this Agreement by Employee and the Company. An Employee has the right to consult with counsel of the Employee’s choice concerning this Agreement.

(Wilson

Decl., Ex. 2, pp. 4-5, **bolding** in original.)

Moreover,

there is no statement under penalty of perjury stating that Plaintiff requested extra time to read the onboarding documents or assistance from an attorney or other consultant to explain the meaning of the arbitration terms or that Defendant denied such requests, assuming they were made.

Substantive Element: Plaintiff contends

the agreement (1) has an indefinite duration (see Opposition, pp. 4-5 [citing Cook v. USC (2024) 102 Cal.App.5th 312]), (2) requires her to arbitrate her claims against Defendant’s related entities without requiring the related entities to arbitrate their claims against her (see id. at pp. 5-6), (3) carves out claims for injunctive relief in a manner that is favorable to Defendant (see id. at p. 6), (4) contains a misleading fees provision (see id. at pp. 6-7), and (5) “abrogates” employees’ “right to bring a PAGA action.” (Id. at p. 8; see

also id. at p. 7.)

Points (1) and (2) fail. The

Cook agreement possessed three unconscionable provisions. The overarching problem – the main defect that justified the denial of the defendant's motion to compel – was the unlimited scope. (See Cook, *supra*, 102 Cal.App.5th at 321-325.) It covered “all claims, whether or not arising out of Employee's University employment[.]” (Cook, *supra*, 102 Cal.App.5th at 321-325.) Nothing was excluded. (See id. at 317, 322-324.) By contrast, the VTP agreement merely “applies to any dispute arising out of or related to Employee's employment with VTP Enterprises or one of its affiliates, subsidiaries or parent companies ('Company') or termination of employment.” (Wilson Decl., Ex. 2, p. 1, *emphasis added*.) This material difference makes Cook distinguishable.[1]

[2]

Point (3) is

unavailing. Section 4 provides: “A party may apply to a court of competent jurisdiction for temporary or preliminary injunctive relief in connection with an arbitrable controversy, but only upon the ground that the award to which that party may be entitled may be rendered ineffectual without such provisional relief.”

(Wilson Decl., Ex. 2, p. 3.) The wording is mutual.

Point (4) is

overstated. Section 6 states:

Each party will pay the fees for his, her or its own attorneys, subject to any remedies to which that party may later be entitled under applicable law. However, in all cases where required by law, the Company will pay the Arbitrator's and arbitration fees. If under applicable law the Company is not required to pay all of the Arbitrator's and/or arbitration fees, such fee(s) will be apportioned between the parties in accordance with said applicable law, and any disputes in that regard will be resolved by the Arbitrator.

(Id.

at Ex. 2, p. 4, *emphasis added*.) The emphasized portion complies with Armendariz, obligating Defendant to pay

costs peculiar to arbitration. The Court is confident that the arbitrator will abide by California law in resolving fees disputes, if any.

Which brings the Court to point (5). Plaintiff argues:

Employers may not force employees to waive their right to bring a PAGA action. (Juarez v. Wash Depot Holdings, Inc. (2018) 24 Cal.App.5th 1197, 1203) An employee with an individual PAGA claim “is free to forgo the option of pursuing a PAGA action. But it is against public policy for an employment agreement to deprive employees of this option altogether, before any dispute arises.” (Iskanian v. CLS Transportation Los Angeles, LLC, , 59 Cal.4th 348, 387)

Here, the Agreement specifies in Section 5 (c):

“There will be no right or authority for any dispute to be brought, heard or arbitrated as a private attorney general representative action (“Private Attorney General Waiver”). The Private Attorney General Waiver does not apply to any claim Employee brings on Employee's own behalf and not on behalf of others for recovery of Employee's unpaid wages.

(Wilson Decl., Ex. 2).

Plaintiff argues with respect to section 5(c):

As drafted, the agreement abrogates an Employee's right to bring a PAGA action. It is unclear what is accomplished by the addition of the second line, which states “The Private Attorney General Waiver does not apply to any claim Employee brings on Employee's own behalf and not on behalf of others for recovery of Employee's unpaid wages.” (Wilson Decl., Ex. 2.) It seems to be intended to limit the waiver only to specific claims, but if the Employee's individual PAGA claims are not waived (and therefore bound to arbitration) then by implication that leaves the representative claims bound to arbitration. “Our

Supreme Court held “[w]here, as here, an employment agreement compels the waiver of representative claims under the PAGA, it is contrary to public policy and unenforceable as a matter of state law.” (Navas v. Fresh Venture Foods, LLC (2022) 85 Cal.App.5th 626, 634 citing Iskanian v. CLS Transportation Los Angeles, LLC, supra, 59 Cal.4th 348, 384, emphasis added.)

(Opposition,
pp. 7-8, emphasis in original.)

Importantly,
the PAGA waiver is not a wholesale waiver.
It only applies to
representative PAGA claims. Plaintiff’s
individual PAGA claim and all other covered individual claims continue to be
arbitrable. (Cf. Hasty v. American Automobile Assn. (2023) 98 Cal.App.5th 1041 [finding a wholesale waiver because the agreement precluded individual and representative PAGA claims].)

The
representative PAGA claim is a different story.
The PAGA waiver mandates that it “shall be
severable . . . in any case in which (1) the dispute is filed as a private
attorney general representative action and (2) there is a final judicial
determination that the Private Attorney General Action Waiver is invalid, unenforceable,
unconscionable, void or voidable. In such instances, the private attorney
general representative action must be litigated in a civil court of competent
jurisdiction.” (Wilson Decl., Ex. 2,
pp. 3-4, **bolding in original.**)

Multiple cases address the interplay among the FAA, representative
PAGA claims, and representative PAGA waivers.
The main ones are Iskanian, Viking River Cruises, Inc. v. Moriana (2022) 142 S.Ct. 1906 (“Viking
River”), and Adolph v. Uber Technologies, Inc. (2023) 14 Cal.5th
1104.

Weighing
Iskanian, Viking River, and Adolph together, the standard approach
in Department 11 has been to compel individual PAGA claims to arbitration and
to stay representative PAGA claims until the arbitrations finish. The Court intends to do the same in
Plaintiff’s case.

In

conclusion: The level of procedural unconscionability is low, the level of substantive unconscionability is low, and the agreement is enforceable. The motion to compel arbitration is granted, the class claims are stricken, and the representative PAGA claim is stayed.[3]

[1] The Cook

agreement had an express provision pertaining to duration. The VTP agreement is silent. Regardless, though, Plaintiff's failure to

show the overarching Cook defect is fatal to her position.

[2] The Court notes that newer case law indicates that Cook

should be treated as a unicorn amid arbitration opinions and that courts should

construe the holding narrowly. (See,

e.g., *Ayala-Ventura v. Superior Court* (2026) 119 Cal.App.5th

241, 255-258 [instructing that Cook should be confined to the unique

context that appeared there].)

[3] Since the FAA applies, the VTP agreement's

class waiver is enforceable. (See, e.g., *Iskanian*, *supra*, 59

Cal.4th at 359-360 [holding that the FAA preempts "a state's refusal

to enforce [] a [class] waiver on grounds of public policy or

unconscionability"].)